Project finance

# The covenant that actually bites

Coverage looks comfortable until you ask which test binds first.

# Coverage, plainly

Debt service coverage is cash available for debt service, divided by debt service. The ratio is the coverage; the gap above the threshold is the *headroom.*

# Two different questions

**DSCR** asks whether this period pays.

**LLCR** asks whether the whole remaining loan life pays, discounted.

# Why both exist

A project can pass every periodic test and still be unable to repay over the life of the facility. It can also fail one bad quarter while remaining sound.

# The number PCI will not invent

The threshold is not a professional convention. It is written in the finance documents.

The obligation is to use the *documented* figure and test against it — never a remembered one.

## Where practitioners get caught

A lock-up test and a default test rarely sit at the same level. Distributions stop long before an event of default. Model both, and know which one you are reporting against.

# 1.05

A coverage ratio of 1.05 is not "just above 1.00". It is a project whose margin for error is five per cent of one period's cash.

PFL-AI

# Cash before accounting appearance

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